

HFC LIMITED

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UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

I STATEMENT OF FINANCIAL POSITION AS AT 30 JUNE 2016	Bank				Group Consolidated			
	30.06.2015 Unaudited (Ksh'000)	31.12.2015 Audited (Ksh'000)	31.03.2016 Unaudited (Ksh'000)	30.06.2016 Unaudited (Ksh'000)	30.06.2015 Unaudited (Ksh'000)	31.12.2015 Audited (Ksh'000)	30.06.2016 Unaudited (Ksh'000)	
A. ASSETS								
1 Cash balances (both local and foreign)	277,468	322,997	300,007	313,158	277,468	322,997	313,158	
2 Balances due from Central Bank of Kenya	2,705,869	4,126,559	3,319,657	2,907,537	2,705,869	4,126,559	2,907,537	
3 Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-	-	
4 Financial Assets at fair value through profit and loss	-	-	-	-	-	-	-	
5 Investment Securities:								
a) Held to Maturity:								
i) Kenya Government securities	251,595	1,571,403	3,374,489	3,196,153	251,595	1,571,403	3,196,153	
ii) Other securities	251,595	1,571,403	3,374,489	3,196,153	251,595	1,571,403	3,196,153	
b) Available for sale:								
i) Kenya Government securities	263,911	579,578	792,947	518,716	263,911	579,578	518,716	
ii) Other securities	263,911	579,578	792,947	518,716	263,911	579,578	518,716	
6 Deposits and balances due from local banking institutions	7,985,196	4,909,600	3,499,334	2,204,811	7,985,196	4,909,600	2,204,811	
7 Deposits and balances due from banking institutions abroad	13,892	608,070	39,858	350,658	13,892	608,070	350,658	
8 Tax recoverable	49,898	-	-	14,584	59,562	18,421	148,399	
9 Loans and advances to customers (net)	49,983,574	53,021,022	53,446,774	53,465,918	49,983,574	53,021,022	53,465,918	
10 Balances due from banking institutions in the group	-	-	-	-	-	-	-	
11 Investments in associates	-	-	-	-	-	-	-	
12 Investments in subsidiary companies	1,605,120	-	-	-	20,107	1,080,213	1,258,649	
13 Investment in joint ventures	20,087	255,561	255,561	255,561	74,140	1,319,204	1,417,826	
14 Investment properties	1,323,664	1,339,222	1,348,448	1,367,912	1,324,253	1,341,930	1,385,941	
15 Property and equipment	39,629	39,398	39,360	39,367	45,731	45,396	44,968	
16 Prepaid operating lease rentals	674,704	898,733	1,073,435	1,142,631	674,704	898,733	1,142,631	
17 Intangible assets	445,431	584,879	564,879	574,740	445,431	584,879	574,740	
18 Deferred tax asset	-	-	-	-	-	-	-	
19 Retirement benefit asset	617,219	631,632	987,510	1,413,980	943,845	1,324,543	2,380,565	
20 Other assets	-	-	-	-	-	-	-	
21 TOTAL ASSETS	66,538,187	68,808,654	69,122,232	67,895,556	66,018,469	71,659,434	71,302,429	
B. LIABILITIES								
22 Balances due to Central Bank of Kenya	-	-	-	-	-	-	-	
23 Customer deposits	38,813,529	41,887,526	41,059,849	39,997,664	37,436,860	41,665,085	39,751,834	
24 Deposits and balances due to local banking institutions	-	-	-	563,541	-	-	563,541	
25 Deposits and balances due to foreign banking institutions	-	-	-	-	-	-	-	
26 Other money market deposits	-	-	-	-	-	-	-	
27 Borrowed funds	16,987,451	17,465,953	17,447,751	16,759,800	16,987,451	18,540,375	18,299,458	
28 Balances due to banking institutions in the group	-	-	-	-	-	-	-	
29 Tax payable	-	10,722	143,719	-	9	10,068	1,279	
30 Dividends payable	270,788	-	-	-	270,788	63,949	63,916	
31 Deferred tax liability	-	-	-	-	-	43	43	
32 Retirement benefit liability	-	-	-	-	-	-	-	
33 Other liabilities	804,105	354,499	1,026,125	1,188,196	1,376,325	657,273	1,637,411	
34 TOTAL LIABILITIES	56,875,873	59,718,700	59,677,444	58,509,201	56,071,431	61,036,763	60,317,482	
C. SHAREHOLDERS' FUNDS								
35 Paid up / Assigned capital	1,741,233	5,000,000	5,000,000	5,000,000	1,741,233	1,744,483	1,744,483	
36 Share premium/(discount)	4,357,989	3,513,662	3,513,662	3,513,662	4,357,989	4,339,712	4,339,712	
37 Revaluation reserves	701,462	-	-	-	701,462	701,463	701,463	
38 Retained earnings/(accumulated losses)	2,719,051	165,918	60,176	257,601	3,003,774	3,225,082	3,695,129	
39 Statutory loan loss reserves	137,073	393,046	506,940	521,862	137,073	393,046	521,862	
40 Other Reserves	(45,245)	(33,422)	(13,260)	(57,520)	(45,245)	(58,678)	(68,452)	
41 Proposed dividends	-	-	300,000	-	-	226,783	-	
42 Capital grants	50,750	50,750	50,750	50,750	50,750	50,750	50,750	
43 TOTAL SHAREHOLDERS' FUNDS	9,662,314	9,089,954	9,444,788	9,386,556	9,947,037	10,622,641	10,984,947	
44 TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	66,538,187	68,808,654	69,122,232	67,895,556	66,018,469	71,659,434	71,302,429	
II STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED 30 JUNE 2016								
1 INTEREST INCOME								
11 Loans and advances	3,361,786	2,718,269	2,071,150	410,223	3,361,786	2,718,269	410,367	
12 Government securities	17,853	122,955	99,756	219,788	17,853	122,955	219,788	
13 Deposits and placements with banking institutions	320,518	758,890	129,946	167,046	320,518	756,912	167,046	
14 Other Interest Income	-	-	-	-	-	-	-	
15 Total Interest Income	3,700,156	8,100,314	2,300,852	4,497,057	3,700,156	8,098,136	4,497,201	
2 INTEREST EXPENSES								
21 Customer deposits	1,178,125	2,891,701	891,859	1,582,155	1,171,800	2,857,720	1,579,529	
22 Deposits and placements from banking institutions	-	-	-	-	-	-	-	
23 Other Interest expenses	816,038	1,626,833	408,883	831,758	816,038	1,626,462	831,758	
24 Total Interest expenses	1,994,163	4,518,534	1,300,741	2,413,913	1,987,837	4,484,182	2,411,287	
3 NET INTEREST INCOME/(LOSS)	1,705,993	3,581,780	1,000,111	2,083,144	1,712,319	3,613,954	2,085,914	
4 OTHER OPERATING INCOME								
41 Fees and commissions on loans and advances	99,643	191,678	43,014	59,450	99,643	191,678	59,450	
42 Other fees and commissions	47,531	106,536	36,281	62,432	80,370	151,008	104,794	
43 Foreign exchange trading income/(Loss)	47,505	59,959	(7,863)	(2,294)	47,505	59,959	(2,294)	
44 Dividend Income	-	200,000	-	-	-	-	-	
45 Other Income	37,763	122,388	51,797	53,237	79,421	768,444	254,989	
46 Total Non-interest Income	232,442	680,561	123,229	172,825	306,940	1,717,089	416,939	
5 TOTAL OPERATING INCOME	1,938,436	4,262,341	1,123,340	2,255,969	2,019,259	4,783,043	2,502,853	
6 OPERATING EXPENSES								
61 Loan loss provision	283,364	503,771	136,895	304,998	283,364	503,771	304,998	
62 Staff costs	521,850	1,004,192	235,282	446,890	545,516	1,098,664	580,587	
63 Directors' emoluments	8,013	18,746	1,005	2,076	8,169	19,630	3,352	
64 Rental charges	13,308	61,493	19,346	48,933	14,577	61,493	48,933	
65 Depreciation charge on property and equipment	46,039	93,499	29,759	67,059	46,715	93,934	68,362	
66 Amortisation charges	6,378	10,739	62,555	125,309	6,378	10,739	125,317	
67 Other operating expenses	409,771	832,810	198,181	374,377	456,099	1,324,256	481,794	
68 Total Other Operating Expenses	1,288,723	2,525,240	683,123	1,360,279	1,360,279	3,112,537	1,169,163	
7 Profit/(Loss) before tax and exceptional items	649,712	1,736,901	440,217	886,427	658,980	1,670,506	889,690	
8 Exceptional items	-	83,012	-	-	-	83,012	-	
9 Profit/(Loss) after exceptional items	649,712	1,819,913	440,217	886,427	658,980	1,753,518	889,690	
10 Current tax	(207,714)	(620,264)	(132,065)	(265,928)	(214,508)	(684,242)	(277,337)	
11 Deferred tax	-	-	-	-	-	127,693	-	
12 Profit/(Loss) after tax and exceptional items	441,998	1,199,649	308,152	620,499	444,472	1,069,276	612,353	
13 Other Comprehensive Income								
13.1 Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-	-	
13.2 Fair value changes in available for sale financial assets	-	(19,190)	66,689	(13,962)	-	(19,190)	(13,962)	
13.3 Revaluation surplus on Property, plant and equipment	-	-	-	-	-	-	-	
13.4 Share of other comprehensive income of associates	-	-	-	-	-	-	-	
13.5 Income tax relating to components of other comprehensive income	-	5,757	(20,007)	4,189	-	5,757	4,189	
14 Other Comprehensive Income for the year net of tax	-	(13,433)	46,682	(9,773)	-	(13,433)	(9,773)	
15 Total Comprehensive Income for the year	441,998	1,186,216	354,839	610,726	444,472	1,055,843	602,580	
Earnings per share	2.78	3.51	2.78	3.51	2.78	3.51	3.51	
Dividend per share	0.65	0.65	0.65	0.65	0.65	0.65	0.65	

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HFC GROUP

HFC is a wholly owned subsidiary of HF Group
HFC is regulated by the Central Bank of Kenya

These financial statements are extracts from the books of the institution. The complete set of quarterly financial statements, statutory and qualitative disclosures can be accessed on the institutions website www.hfgroup.co.ke.

They may also be accessed at the institutions head office located at Rehani House, Kenyatta Avenue/Koinange Street, Nairobi

Sam Waweru
HFC Ltd Managing Director

Frank Ireri
Group Managing Director

Steve O. Mainda
Chairman

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Half Year Results Summary

- The Group reported a 27.16% growth in profit before tax for the first half year of 2016 driven by rise in interest income from its banking subsidiary HFC and income from housing projects by HFDI. Profit before tax increased to KSh 889.7 million in the half to June 30 2016 compared to KSh 699.6 million over a corresponding period in 2015.
- The Group's profit after tax and exceptional items rose 26.26% to KSh 612.6 million from KSh 485.1 million reported in the same period in 2015.
- Net interest income posted a strong growth, rising to KSh 2.08 billion during the half from KSh 1.71 billion in 2015.
- The company's loan book grew by 7% to KSh 53.5 billion from KSh 49.9 billion in a similar period in 2015. Customer deposits on the other hand increased by 6% to KSh 39.8 billion from KSh 37.4 billion in 2015 on account of increased customer numbers.
- HF Group increased its holding of Government securities from KSh 515 million to KSh 3.7 billion both, to take advantage of the improved yields on Government paper as well as building a sinking fund towards liquidation of the first tranche of its Corporate Bond expected in October 2017.
- The Bank's Non-performing loans increased during the period to KSh 5.3 billion from KSh 4.1 billion in 2015 on account of delayed liquidation of some project loans whose conveyance process is in progress and expected to be paid off during the year.
- During the half year, HFC - HF Group's mortgage lending and banking subsidiary - opened new branches in different parts of the country including Komarock, Machakos, River Road Hurlingham, Ongata Rongai and Nanyuki.
- HFC also commissioned a new Core Banking System that will enhance customer service and experience. The new system has enabled HFC roll out new products including mobile banking, and plans are underway to roll out internet banking.
- HFDI - the real estate development and investment subsidiary of HF Group - completed the construction of K-Mall, a shopping mall in Nairobi's Eastlands area. The mall which has already commenced operations is set to have Tuskys Supermarket as the anchor tenant, while other key tenants include HFC and Aga Khan Hospital.
- HF Foundation - the Group's social responsibility arm - recently signed an agreement with Actis and Arc Skills to train 300 artisans in 12 months, with the first cohort of artisans currently undergoing training at Garden City Mall. The Foundation also extended its support for technical and vocational education and training through sponsorship of a regional conference on TVET institutions convened by the Commonwealth Association of Technical Universities and Polytechnics in Africa and the Kenya Association of Technical Training Institutions (KATTI). This is in addition to the continued support to artisans through the *Army of one million artisans* project that facilitates formal skills to artisans in the construction industry.
- HF Insurance Agency - The insurance subsidiary of HF Group introduced bespoke insurance solutions for Small & Medium Enterprises (SME) to help them navigate the murky business terrain and ensure the inherent value of their business is realised. The agency is also set to roll out insurance solutions targeting both retail and corporate customers.